

APPENDIX 3.1
(referred to in paragraphs 2.108, 3.12, 3.15, 3.16, 4.117 and 6.19)

Caremark: management accounts

1. Caremark supplied management accounts for 1996 and 1997. Table 1 shows the profit and loss accounts for those two years.

TABLE 1 Caremark: profit and loss accounts, 1996 and 1997

	1996		1997	
	£'000	% of sales	£'000	% of sales
Sales	23,794.4	100.0	29,920.8	100.0
Cost of sales				
Gross profit				
Stock losses				
Bad debt expensed				
Other gains/(losses)				
Less: Operating expenses:				
Cost of goods sold:				
Compounding unit				
Pharmacists				
Loan/hire				
Purchasing				
Retail chemists				
Total cost of goods sold				
Cost of service:				
Nursing				
Facility charges				
Transport				
Customer services				
Information systems				
Warehousing				
Ashton operations				
Glasgow agency				
Fertility treatment				
MS				
Total cost of service				
Sales and marketing				
General and admin				
Sundry (incl sale of assets)				
Total operating expenses				
Operating profit				
Intercompany loan written off				
Other non-management account items				
Interest received				
Pre-tax profit/(loss)				
Taxation				
Post-tax profit/(loss)				

*Figures omitted.
See note on page iv.*

Source: Caremark.

2. Caremark also gave details of its average cost structures for EN and PN. Table 2 shows the average cost per patient per year for EN.

TABLE 2 Caremark: average cost structure of EN

	£ per year	%
Feed	<i>Figures omitted. See note on page iv.</i>	
Ancillary equipment		
Product cost		
Customer service		
Pharmacy		
Transport		
Special deliveries		
Nutritionist		
Facilities		
Overheads		
Service cost		
Service profit		
Sales value		

Source: Caremark.

3. Table 3 shows the average cost per patient for PN. PN is much more expensive than EN and the table shows the cost per patient per day, rather than per year as in Table 2.

TABLE 3 Caremark: average cost structure of PN

	£ per day	%
Empty bag	*	
Amino acid		
Lipid		
Glucose		*
Compounding additives		
Compounding		
Ancillaries		
Patient additives		
Total product costs		69.9
Losses/bad debts	*	
Depreciation		
Customer service		
Transport		
Nursing		
Pharmacy		
Purchasing		*
Warehousing		
Sales and marketing		
Information systems		
General and admin		
Total service costs		
Homecare profit		
Sales value		100.0

Source: Caremark.

*Figures omitted. See note on page iv.